

range is now lower; the best offer is \$641 per month and the lowest offer is \$613. A 65-year-old male gets slightly more. His numbers range from \$655 to \$681 if he selects a 10-year period certain and \$678 to \$711 if he does not.

On a slightly more technical level, if you divide the annual income generated by the SPIA, by the initial premium of \$100,000, you arrive at the important annuity yield. For example, using payouts from Table 9.3 at age 65, with zero years of certain payments, the yield ranges from 8.14% ($=678 \times 12 / 100,000$) to 8.53% for males and 7.55% to 7.90% for females.

Indeed, these annuity yields have been steadily declining over the last few years as a result of both lower long-term interest rates as well as increasing longevity.

Figure 9.3 illustrates the monthly evolution of the annuity yield over the last few years. I have plotted the best/worst annuity yields, for both males and females, offered by insurance companies in the U.S., as well as the yield on a 10-year government bond.

U.S. Annualized Annuity Payout Yield: Age 65

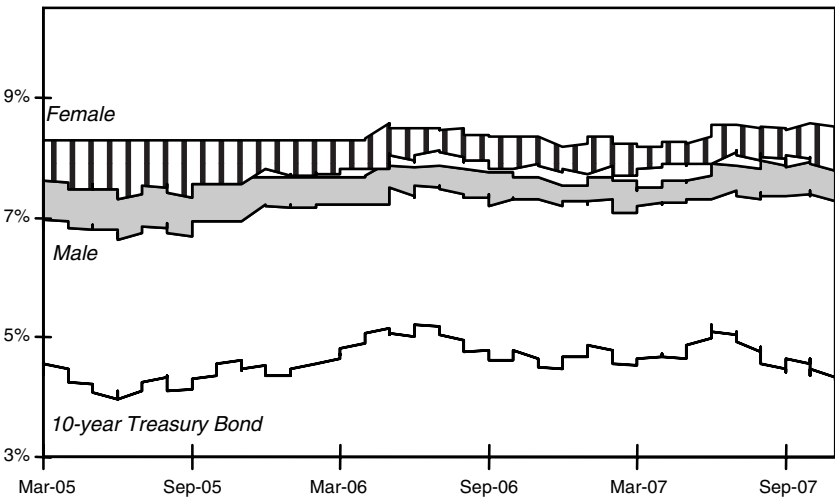


Figure 9.3 Immediate annuities always yield more than bonds.

Source: CANNEX Financial Exchanges, November 2007; IFID Centre calculations.